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### Reflection - Sephora Beauty Advisor

For the past nine months, I have been working as a Sephora Beauty Advisor at Kohl's. Because it was a part-time position, I would work around 10-15 hours per week on average. My main responsibility would be to assist customers with their beauty needs for a great customer experience.

One of the requirements of Sephora Beauty Advisors is to be able to understand and communicate product knowledge. To do so, a vital task we must do is watch and complete online trainings. Besides the onboarding training, each week there are two new trainings to do in the Kohl's Workday platform which are called "Daily Doses". The first training is usually a video about a brand's story or a new product that is launching at Sephora. The second training is more interactive with images and descriptions of new or popular products for the month, with pop quizzes at the end about the product features. What is stressed in these daily doses is the importance of Sephora's Multiworld categories. For Sephora at Kohl's, these are Hair, Skincare, Makeup, Fragrance, and Sephora Collection. It is valuable for Sephora to have many "Multiworld" transactions, which is accomplished when customers make purchases from more than two categories. The interactive daily doses mainly help to provide guidance on how to introduce new products to customers to build their baskets and attain more multiworld transactions. Examples of tips are to listen for customer cues such as "Waterproof" or "Floral" to be able to make suggestions for complementary products, "Give a name and Get a name" to personalize the customer experience, and refer to information on the packaging or use digital resources such as the Sephora app to share more details about a product.

Other than completing the daily doses, there are other responsibilities to carry out. Oftentimes, customers will request to be matched to a shade in a complexion product such as a foundation or a concealer. If customers are on the fence about purchasing a product or unsure what their shade match in a complexion product is, we can offer to give drammed samples of the product. This helps with customer loyalty and increases the likelihood of a future purchase with Sephora once they've had a chance to try the product at home. Shade matching also emphasizes the importance of keeping tester stations stocked with disposable applicators, allowing customers to easily swatch products—a key factor in motivating them to purchase in-store rather than online. When Beauty Advisors are not servicing a customer, we must also manage inventory. This can look like auditing the inventory count, cleaning shelves to maintain hygiene and visual merchandising standards, stocking the salesfloor, replacing old or empty testers, backstocking excess product, and re-organizing the displays. Beyond organization, we also routinely install updates (changes to visual merchandise displays) on the sales floor when brands launch new products or are discontinuing certain product lines. This is particularly important as customers rely on up to date displays for product knowledge, navigating the store, and installing a hard

launch on time is important for keeping up with customer expectations. Price changes with “Was/Now” or “XYZ% off” boings are also attached to displays to reflect event promos going on.

Although most of our conversations with customers happen in the aisles, it is equally important to continue engaging with them at the registers once they decide to check out. This is where we will usually introduce Sephora’s reward program, the Beauty Insider Loyalty Program. Sephora’s loyalty program has different tiers, with Insiders as the entry level, followed by VIB and then Rouge. Offering to add free samples can help provide an incentive for non-members to sign up that day. Because this is a Sephora at a Kohl’s, we also explain the added benefit of linking a Beauty Insider account to Kohl’s Rewards, allowing customers to start earning Kohl’s Cash on their Sephora purchases. Enrolling customers in these loyalty programs is vital as membership encourages them to return for Insider exclusive sales events such as Sephora’s semi-annual or holiday sales. In addition, many customers revisit to redeem their free birthday gift now that they are a Beauty Insider. The birthday gifts consist of deluxe sized samples of Sephora products, which also may lead to a future purchase of the full-size product.

Beyond learning the day-to-day tasks of what it takes to be a Beauty Advisor, I also gained bigger picture insights of Sephora at Kohl’s. It was interesting to connect and see concepts covered in my past MKTG 165 course play out in real time during my time as a Beauty Advisor. One business model covered in MKTG 165 was store-within-a-store, such as Ulta Beauty at Target. In my time working at Sephora at Kohl’s, I’ve seen how the main benefit is convenience for the shopper. Customers that come in to purchase a kitchen blender can also pick up their favorite perfume in one trip. This was also certainly true when I’d encounter new customers that were making a Sephora purchase because they received a “Sephora x Kohl’s 10% off coupon” from their Amazon package return in Kohl’s. Kohl’s partnership with Sephora in turn helps increase customers’ basket size. This also showed how coupons are effective at increasing transactions. Sephora’s partnership with Kohl’s also allowed for more breadth for Kohl’s since they now not only carry clothing, home goods, and shoes but also prestige beauty. This new retail category helps attract a different demographic to Kohl’s, one consisting of trend-driven Gen Z and those of upper-middle income willing to splurge on prestige products.

However, I was surprised to see there were many shortcomings with not being a standalone Sephora. Sephora offers two types of credit cards, their standard credit card and the Visa version. It would be disappointing for customers to explain that the normal Sephora Credit Card is only applicable at stand-alone Sephora stores and doesn’t work at Kohl’s locations. When customers were ready to pay and would ask for their Sephora card to be looked up, it was also troubling to explain that we were only capable of performing a Kohl’s card lookup and not the Sephora one—sometimes leading to customers putting their entire basket back. Another flaw was the return process. Numerous customers will come in to return a product they purchased from a standalone Sephora store or the official Sephora website, and it was quite upsetting for some to hear that we couldn’t process their returns if they weren’t from the Kohl’s website or another Sephora at Kohl’s location since we had different SKU numbers. Additionally, the

partnership business model is great for introducing brands to new customers but for loyal Sephora customers that know exactly what they want to purchase it can be a let down to not find their favorite brand/product that they'd usually find at a standalone Sephora. This was true for luxury brands like Dior and Chanel and smaller niche brands like Necessaire and Salt & Stone that are not offered at Kohl's. It was also disappointing to not see a brand's full product range such as Anastasia Beverly Hills, Glossier, or Stila. The smaller store-within-a-store format also means that inventory being sent tends to be in a smaller quantity compared to standalone Sephora stores. Because what the warehouse sends would be varied, sometimes we were low on stock for a specific product and wouldn't know if it would be replenished anytime soon. Having to be told to place an order online or visit another location instead would make lots of customers unhappy and have a negative perception of Sephora altogether. This illustrates the negative impact of stockouts on retail businesses and how they drive competition.

Other key takeaways were that celebrity branding is indeed effective at attracting customers. Instead of referring to Haus Labs, Fenty Beauty, or Rare Beauty there were instances where customers would request to be directed to "Lady Gaga's", Rihanna's", or "Selena Gomez's" brand. These are also some of the most popular brands at Sephora. By carrying these celebrity-owned lines, Sephora benefits from the loyal following that the celebrities already have and doesn't have to exert so much effort into creating demand for those brands. Psychological pricing strategies are also utilized by Sephora. Using "Was/Now" boings to show price changes reflects the anchoring strategy where the past price being a higher reference point makes the current price seem like a great bargain. Customers would also often purchase perfume sets rather than an individual perfume, stating that they believe it's of better value after comparing the prices listed on the display. This reflects the decoy pricing strategy. With how often new customers would be willing to sign up for Sephora's loyalty program, it also made me observe what makes up a successful loyalty program. Sephora's program with Insider-exclusive sales events, free shipping for online orders, and the annual free birthday gift are all great examples of implementing long-term, "sticky" rewards to build and sustain customer loyalty.

I was also able to form connections to my observations in my EMPAC model report. My report compared Sephora at Kohl's with its direct competitor Ulta Beauty at Target. One of my findings from the shopper interview was that Sephora at Kohl's was preferred over Ulta at Target, though the shopper favored the standalone Sephora over both for having more breadth and depth. This was also true for many customers. This shows how store-within-a-store is great for inviting a new demographic or for picking up a few convenient items, but that variety is important for shoppers. Another note from the shopper interview was that the shopper preferred to be left alone in the store rather than being approached by a sales person and they like shopping in silence. This relates to the few instances where customers would share that they preferred the less hectic atmosphere of Sephora at Kohl's rather than the larger standalone Sephoras that receive lots of foot traffic. Both of these examples show that companies must consider the store atmosphere and how it affects the customer's shopping experience. With how often customers

would request for confirmation of a product's price with what they saw on the display, this also demonstrates how important accurate signage is for customers.

My time as a Sephora Beauty Advisor will be beneficial for future job interviews in that I feel I have developed a better understanding of both the customer and the business in retail. By sharing conversations with customers and recommending products for different needs I was able to observe what influences a customer's buying decision and how factors such as sales, exclusivity, and social media posts impacted their purchase. Being around beauty products all day and also watching short daily doses each week has helped develop my product knowledge. Even quickly conversing with customers about why they were returning a product helped me understand customer preferences towards a product's performance, which can help me gain insight into what it takes to achieve product market fit. Some soft skills I have developed are better communication, teamwork by working alongside my coworkers, and problem-solving. Overall, working a retail job at Sephora was a great hands-on opportunity to observe consumer behavior in real time and view how it adjusts. Even conversations with customers where they ask about a product they saw online emphasized how in today's climate UGC influence is growing and the great importance of social media. It will help me in my aspirations to work in the beauty industry in the future as I feel that I better understand not just consumers but also companies such as Sephora and the different methods they use to reach their target audience.